

Sara Shackleton  
Enron North America Corp.  
1400 Smith Street, EB 3801a  
Houston, Texas 77002  
713-853-5620 (phone)  
713-646-3490 (fax)  
sara.shackleton@enron.com

----- Forwarded by Sara Shackleton/HOU/ECT on 04/13/2001 08:56 AM -----

"Yaish, Yair (OGC)" <YYaish@exchange.ml.com>  
04/13/2001 08:50 AM

To: "'Sara.Shackleton@enron.com'" <Sara.Shackleton@enron.com>  
cc:  
Subject: FYI -- FERC Filing

Sara, I wanted to let u knwo that under the FERC rules, we have to file the Enron side letter for the physical master agreement in the same manner that we filed the original agt between Enron and Allegheny. Our PA office is handling that and, if I am not mistaken, has taken of that yesterday. I do not think that EPMI is required to file with the FERC because u are a power amrekter, but I am wondering whether u do such filings anyway.

-----Original Message-----

From: Sara.Shackleton@enron.com [mailto:Sara.Shackleton@enron.com]  
Sent: Friday, April 13, 2001 9:41 AM  
To: YYaish@exchange.ml.com  
Subject: RE: ISDA Schedule/Paragraph 13

Yair:

I've left a message with Tracy Ngo (in Portland) and will let you know as soon as I hear from her. How long will you be in the office today?

"Yaish, Yair  
(OGC)" To:  
"'Sara.Shackleton@enron.com'" <Sara.Shackleton@enron.com>  
<YYaish@exchan cc:  
ge.ml.com> Subject: RE: ISDA  
Schedule/Paragraph 13

04/13/2001  
08:28 AM

Sara, Allegheny would like to be able to assign to affilaitees in the same manner that we are allowing Enron to make an ssignment so long as the Gty goes along. In our case, however, there is no gty, hence the stipualtion that such assignment must be to an entity with an equal or better credit rating. If you wish, I can limit such assignment to an entity rated at least BBB+ or better. Would that resolve your concerns?

-----Original Message-----

From: Sara.Shackleton@enron.com [mailto:Sara.Shackleton@enron.com]  
Sent: Thursday, April 12, 2001 12:26 PM  
To: YYaish@exchange.ml.com  
Subject: RE: ISDA Schedule/Paragraph 13

Yair:

It's a good thing you didn't try to get back to me! Sorry.

(See attached file: AlleghenyCPformacceptR1.DOC)

04/12/2001

10:16 AM

Sara, sorry i didn't get back to you yesterday, I was out sick. I didn't notice anything attached, did u send a subsequent e-mail?

-----Original Message-----

From: Sara.Shackleton@enron.com [mailto:Sara.Shackleton@enron.com]  
Sent: Wednesday, April 11, 2001 4:01 PM  
To: YYaish@exchange.ml.com  
Cc: Tracy.Ngo@enron.com  
Subject: RE: ISDA Schedule/Paragraph 13  
Importance: High

Yair:

Attached is my redline. Call me so that we can discuss the remaining issues, including:

- (1) Calculation Agent. We believe that the existing dispute mechanism is adequate.
- (2) Procedures for Entering into Transactions. There is no procedure for dual confirms. This is too confusing.
- (3) Transfer. We cannot agree to your assignment provision as it is too subjective.

The other changes were not substantive.

04/10/2001

07:46 AM

Sara, any thoughts on my comments ISDA I sent out last week?

-----Original Message-----

From: Yaish, Yair (OGC)  
Sent: Thursday, April 05, 2001 6:19 PM  
To: 'Sara.Shackleton@enron.com'  
Subject: RE: ISDA Schedule/Paragraph 13

Sara, I have good news, I think we are very close to executing this baby.

I am attaching comments to the ISDA. They reflect comments by our outside counsel which highlight the differences between this contract and the side

letter/ML ISDA. They are not much. I have also made some changes directly on their draft where I either concurred with Enron or needed to make some of my own changes. Pls review and let me know what you think.

I will be leaving the office soon, so if we can wrap it up tomorrow that would be great (I'm out Monday for Passover).

Yair Yaish  
Director and Senior Counsel  
Allegheny Energy Global Markets, LLC  
212-236-7346

-----Original Message-----

From: Sara.Shackleton@enron.com [mailto:Sara.Shackleton@enron.com]  
Sent: Friday, March 30, 2001 4:10 PM  
To: yyaish@exchange.ml.com  
Subject: ISDA Schedule/Paragraph 13

Yair:

Attached is a blacklined (against the Enron North America Corp. draft of 3/15/01) Schedule and Paragraph 13 to the ISDA Credit Support Annex. I have tried to incorporate the essence of the March 19, 2001 "swap side letter agreement." Please call me to discuss as it would be nice to finalize by April 6. Thanks.

(See attached file: 098a Blackline ctr (Allegheny Energy Supply).doc)